Suggested Statements to be made by the United States and United Kingdom Governments with reference to the handling of Chinese participation and of the future of Formosa in the Japanese Peace settlement

The Governments principally concerned with the Peace Treaty with Japan are not agreed among themselves as to what persons, if any, would possess the lawful and practical authority to commit the whole Chinese nation to permanent engagements. However, that fact should not be allowed to delay the Japanese Peace settlement, the early conclusion of which is generally agreed to be important.

2. It is accordingly proposed to proceed without any Chinese co-signature to the presently contemplated multilateral Treaty of peace. The interest of the Chinese people would be safeguarded by provisions in the multilateral treaty designed to assure that major benefits will enure to China even though there is no signature or ratification of that treaty on behalf of China. Thus the draft now under consideration contemplates that when the treaty comes into force all Japanese special rights and interests in China would automatically be renounced and China would have the right to deal for its own account with Japanese property.

3. It is understood that the contemplated procedure will not imply any alteration in the various positions concerning China held by the various Allied governments which will sign the multilateral treaty and that, under international law, Japan's future attitude toward China must necessarily be for determination by Japan itself in the exercise of the

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sovereign and independent status contemplated by the treaty. The treaty has been framed so as not to prejudice that important principle.

4. By the contemplated multilateral treaty, Japan would renounce its sovereignty over Formosa and the Pescadores. The treaty itself would not determine the future of these islands, [which is still to be considered in the light of the purposes and principles of the Charter of the United Nations.]*

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* The bracketed portion of paragraph 4 was suggested for inclusion by the U.K. J.F.D. said that he saw no objection to its inclusion by the U.K. but wanted to reserve the question of whether it should be said by the U.S.